Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Harveyville Healthcare

Senior secured acquisition facility with undrawn capex tranche

Prepared for Ardent Health Partners Fund II

Prepared by Quillwood Credit Partners

12 October 2026, Version 1.0

Non-binding, subject to credit approval

Reference: QCP-TS-2026-114

Date: 12 October 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Harveyville Healthcare Pty Ltd
ABN	92 207 130 560
Registered address	Level 8, 45 Phillip Street, Parramatta NSW 2150
Sponsor	Ardent Health Partners Fund II, managed by Ardent Health Partners Pty Ltd
Prepared by	Quillwood Credit Partners
Date and version	12 October 2026, Version 1.0

Transaction details

1. Purpose and status

This term sheet sets out the indicative terms on which Quillwood Credit Partners would consider providing senior secured debt to Harveyville Healthcare Pty Ltd. It is non-binding, creates no obligation to lend and remains subject to credit approval, satisfactory due diligence and documentation. It is based on the information memorandum dated 10 August 2026, the independent valuation dated 28 August 2026, the quantity surveyor report dated 4 September 2026, the FY26 financial statements dated 18 September 2026 and management accounts dated 30 September 2026.

2. Borrower and transaction

Harveyville operates seven private day hospitals in New South Wales (Parramatta, Penrith, Newcastle, Maitland, Wollongong, Gosford and Orange), with 24 operating theatres and 9 procedure rooms. It performs about 46,800 procedures a year with 410 accredited visiting medical officers and 640 FTE employees. FY26 revenue was A$122.0M and EBITDA A$19.5M, a margin of 16.0%. Ardent Health Partners has agreed to acquire 100% of the group at an enterprise value of A$136.5M.

3. Facility terms

Facility	Senior secured term loan (acquisition facility) with an undrawn capex tranche
Acquisition limit	A$72.0M
Tenor	48 months from financial close
Capex tranche	Undrawn, to part fund the A$11.4M theatre expansion programme. Quantum and drawdown conditions to be set at credit approval.
Repayment	Bullet at maturity, subject to a cash sweep to be agreed
Purpose	Part fund the acquisition and transaction costs of about A$1.5M

Key facility terms

Sources and uses

Item	A$M	Share %
Senior term loan	72.0	52.2
Sponsor equity	66.0	47.8
Total sources	138.0	100.0
Enterprise value paid	136.5	98.9
Transaction costs	1.5	1.1
Total uses	138.0	100.0

Sources and uses at financial close

4. Indicative pricing

- Cash margin: 3 month BBSW plus 5.50% per annum.
- Upfront fee: 2.00% of the facility limit.
- Commitment fee: 1.00% per annum on undrawn amounts.

5. Credit metrics at close

Metric	Value
Net debt	A$70.2M
Leverage (net debt / FY26 EBITDA)	3.6x
Interest cover	2.9x
LVR (A$72.0M / A$140.0M valuation)	51.4%
Freehold property value	A$38.5M
Theatre utilisation	74%

Quillwood based on FY26 EBITDA of A$19.5M and the Carrick Whitlam Valuation Advisory enterprise value of A$140.0M

6. Security

- First ranking general security over all present and after-acquired property of the Borrower and each material subsidiary.
- First registered mortgages over the three freehold sites, and leasehold mortgages or landlord consents over the four leased sites where obtainable.
- Share charge over the Borrower granted by the Sponsor's acquisition vehicle.
- Cross guarantees from all material group entities.

7. Financial covenants

Covenant	Level	Test
Leverage (max)	4.25x	Quarterly
Interest cover (min)	2.25x	Quarterly
LVR (max)	60.0%	On valuation

Indicative covenants, subject to the final financial model

8. Conditions precedent

- Credit approval by Quillwood Credit Partners.
- Completion of legal due diligence by Hartigan Voss Lawyers and financial due diligence, including review of the Lindqvist Marsh audited accounts.
- Satisfactory review of the valuation, the Pellegrino Doyle quantity surveyor report and the Brennan Tolliver financial model.
- Receipt of full sponsor equity of A$66.0M, ranking behind the senior debt.
- Evidence of insurances, licences and private health insurer agreements.
- Satisfactory documentation and security.

9. Key risks for credit assessment

- Reliance on insurer rebates, Medicare Benefits Schedule items and negotiated hospital agreements.

- The top 25 VMOs generate about 38% of procedure volumes.
- Limited headroom at 3.6x leverage and 2.9x interest cover if EBITDA falls or the base rate rises.
- Nursing and anaesthetic labour costs may compress the 16.0% margin.
- Four leased sites expose the group to renewal and rent review risk.
- Cost overrun or slow ramp-up on the A$11.4M expansion.

10. General

This indication expires on 11 November 2026 unless extended in writing. Fees and costs are payable by the Borrower whether or not the facility proceeds. Governing law is New South Wales.

Prepared by	Quillwood Credit Partners, Healthcare Origination
Approver	Credit Committee, Quillwood Credit Partners
Status	Indicative only, not an offer or commitment

Sign-off